

INVESTMENT THESIS: India's ONLY nuclear-certified pump maker—monopoly RCP supplier to NPCIL—with Rs.1,282 Cr nuclear order book beginning to invoice in CY2026.

ACCUMULATE

12-Month Target: Rs. 1,200

Upside: ~20% | Horizon: 12 Months

Entry Zone: Rs. 900–950

Conviction: HIGH

Metric	Value
CMP (27-Apr-26)	Rs. 1,000
Market Cap	Rs. 17,417 Cr
52W High / Low	Rs. 1,012 / 667
Stock P/E (TTM)	60.3x
P/B	10.4x
Book Value/Share	Rs. 96.5
EPS (CY2025)	Rs. 15.54
ROCE	24.5%
ROE	18.3%
Div Yield	0.44%
Face Value	Rs. 2.00
Promoter Holding	69.80%
Debt (Cr)	Rs. 5
Report Date	27-Apr-2026

Prepared by: Equity Research Desk | Research Analyst – India | 27-Apr-2026 | Data Source: Screener.in (Consolidated, Dec year-end)

SECTION 2 — INVESTMENT THESIS

Pillar 1 — Nuclear Monopoly Converting to Revenue (CY2026–2028): KSB is the only Indian pump manufacturer to hold ISO 19443:2018 nuclear certification, giving it a de-facto monopoly as the indigenous supplier of Reactor Coolant Pumps (RCPs) for NPCIL's nuclear fleet. 18 of 24 operational reactors in India run on KSB RCPs. With testing of the first two pump sets at Tarapur commencing March 22, 2026, management guides 2–4 pump invoices in CY2026 alone. The Rs. 1,282 Cr nuclear component of the Rs. 2,585 Cr order book is expected to generate Rs. 100–200 Cr in annual revenue at run-rate, meaningfully re-rating margin and PAT. This is a once-in-a-decade revenue inflection point; the market has not fully priced it in.

Pillar 2 — Industrial Capex Supercycle Across Five Verticals: KSB's five strategic pillars — Standard Pumps, SupremeServ (aftermarket), Solar Pumps (KUSUM 2.0), Valves, and Energy — are all benefiting from India's infrastructure boom. Ex-nuclear order intake grew 30% in CY2025. Solar pump revenue of Rs. 245 Cr in CY2025 is targeting Rs. 300+ Cr in CY2026 on KUSUM 2.0 tailwinds. Water and Wastewater (29% of revenue) benefits from Jal Jeevan Mission and AMRUT 2.0 pipeline. The addressable pump market in India is USD 2.9 Bn (2024) growing at 6% CAGR to USD 4.1 Bn by 2030. KSB commands a disproportionate share in high-value industrial segments.

Pillar 3 — Improving Fundamentals with Balance Sheet Optionality: ROCE has expanded from 17% (CY2014) to 25% (CY2025), validating asset-turn improvement. The company is virtually debt-free (Borrowings: Rs. 5 Cr). Capacity expansion — 14,000 sqm at Shirwal + new Sinnar shed — was completed in March 2026, enabling throughput growth. The global parent (KSB SE, Germany) provides proprietary technology and export access at no royalty risk for the listed entity.

Near-term Catalyst: First nuclear pump invoicing in CY2026 (Tarapur testing underway) — expected within 6 months.

Key Risk: Nuclear delivery further delayed; working capital stretched (Debtor Days spiked to 118 in CY2025 from 80 in CY2023).

SECTION 3 — BUSINESS OVERVIEW

KSB Limited is India's premier manufacturer of centrifugal pumps, valves, and fluid-handling systems, incorporated in 1960 as a 50-50 joint venture between the Kirloskar Group and KSB SE (Germany). Today, the promoter group — dominated by KSB SE, Pegnitz (66.6%) — holds 69.8% in aggregate. The company operates six manufacturing plants across Maharashtra (Pune, Shirwal,

Sinnar), Tamil Nadu (Coimbatore), and Kerala (Vyttila), with over 2,000 employees and a national service network.

Revenue is split across pumps (~84% of sales) and valves (~16%) serving six end-markets: Energy (thermal/nuclear power), Water & Wastewater (WWW), Petrochemicals & Refineries, General Industry, Building Services (HVAC/fire protection), and Mining. The WWW segment is the largest contributor at ~29% of sales. Within pumps, the company also manages SupremeServ (aftermarket services), a high-margin recurring business growing at 15%+ per annum. Solar pumps (KUSUM scheme) accounted for Rs. 245 Cr in CY2025 revenues, with the company increasing its indigenous manufacturing share from 10% to 35%.

KSB holds a unique competitive position in nuclear: it is the only Indian manufacturer with ISO 19443:2018 nuclear quality certification and supplies Reactor Coolant Pumps (RCPs) — the most critical component in a pressurised water reactor — to NPCIL exclusively. Significant orders include Rs. 500 Cr from NPCIL for Kaiga Atomic Power Project and Rs. 267 Cr for Kudankulam. The nuclear order book stood at Rs. 1,282 Cr as of December 2025, representing approximately 49.5% of total orders-on-hand of Rs. 2,585 Cr (equivalent to ~11.5 months of revenue cover). Revenue recognition began with testing at Tarapur in March 2026.

The company's stated strategic targets for 2030 include a 12–13% Return on Sales (EBIT margin), aggressive market share gains in solar, valves, and energy segments, and incremental nuclear revenue of Rs. 100–200 Cr/year at peak run-rate. Global parent KSB SE provides design support, technology licensing, and export channel access — making the India entity a beneficiary of global KSB's R&D; without carrying the associated cost burden.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

India's industrial pump market is valued at USD 2.90 Bn in 2024, forecast to reach USD 4.14 Bn by 2030 at a 6.1% CAGR (Research & Markets). The water & wastewater sub-segment — KSB's largest vertical — is growing at 8.2% CAGR driven by Jal Jeevan Mission Phase 2, AMRUT 2.0, and private industrial capex. Policy tailwinds include: (a) India's nuclear capacity addition target of 100 GW by 2047 (from 8 GW today), (b) KUSUM 2.0 — subsidy-backed solar pump deployment for 30 lakh farmers, and (c) Power Ministry's plan for 80+ GW of new thermal capacity by 2032.

KSB's competitive moat in pumps is rated **Moderate-to-Strong**: it enjoys near-monopoly in nuclear RCPs (ISO 19443 certification is a 5-year qualification barrier for any new entrant), strong brand recognition in process industries, and technical superiority backed by KSB SE's global R&D.; In standard pumps, the market is competitive with Kirloskar Brothers, Grundfos, Sulzer, and Flowserve. In valves, competition from L&T, BHEL, and global players limits pricing power. The aftermarket (SupremeServ) has strong switching costs and recurring economics.

Peer Comparison — as of 27-Apr-2026 (Source: Screener.in)

Company	CMP (Rs.)	MCap (Cr)	P/E (TTM)	P/B	ROCE %	ROE %	TTM Sales	OPM %	TTM PAT	TTM EPS
KSB Ltd	1,000	17,417	60.3	10.4	24.5	18.3	2,696	14%	270	15.54
Kirloskar Brothers	1,742	13,843	33.5	6.3	27.6	21.6	4,492	14%	419	52.29
ELGI Equipments	548	17,384	41.9	8.6	21.9	20.1	2,525	15%	350	11.05
Thermax Ltd	4,156	49,516	77.3	9.8	16.2	13.6	8,090	9%	627	53.25

Source: Screener.in | All financial figures in Rs. Crores | CMP as of 27-Apr-2026

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

KSB's management team operates under the stewardship of the global KSB SE group. The India entity's promoter holding of 69.8% — recently increased from 66.69% in Q1 CY2024 via open market purchases — signals promoter conviction at elevated valuations. There is zero pledging. The MD and senior leadership team are career KSB professionals with deep engineering and commercial expertise in pumps, providing institutional consistency.

Capital allocation has been exemplary over the past decade. The company has: (a) maintained near-zero debt — Borrowings of Rs. 5 Cr on a Rs. 2,793 Cr balance sheet — while self-funding capacity expansions; (b) delivered ROCE improvement from 17% in CY2014 to 25% in CY2025; (c) maintained consistent dividend payouts of 28–32% of net profit with DPS growing alongside EPS; and (d) invested counter-cyclically in capacity — Shirwal and Sinnar plant expansions (14,000 sqm) completed in March 2026.

Dividend policy is stable. Based on Screener data, payout has been 28–29% of PAT in CY2023, CY2024, and CY2025. There are no ESOPs or buybacks, reflecting management's preference for reinvestment into growth capex. Related Party Transactions are disclosed and primarily consist of KSB SE inter-company product purchases and technology licensing fees — levels that are in-line with industry norms for subsidiary relationships. Corporate governance is clean: auditor tenure is moderate, there are no red flags in AGM disclosures, and quarterly disclosures are timely.

SECTION 6 — FINANCIAL DEEP-DIVE (Consolidated | Dec Year-End | Rs. Crores)

Income Statement

Particulars	Dec 2021	Dec 2022	Dec 2023	Dec 2024	Dec 2025	CY2026E
Revenue / Sales	1,497	1,822	2,247	2,533	2,696	3,050 (E)
Expenses	1,287	1,575	1,954	2,196	2,322	2,598 (E)
EBITDA	210	247	294	338	374	452 (E)
EBITDA Margin %	14%	14%	13%	13%	14%	14.8% (E)
Other Income	40	50	42	50	48	45 (E)
Interest	5	6	5	3	3	3 (E)
Depreciation	44	45	50	54	58	65 (E)
PBT	201	245	280	331	360	429 (E)
Tax %	26%	25%	26%	25%	25%	25% (E)
Net Profit (PAT)	149	183	209	247	270	322 (E)
EPS (Rs.)	8.59	10.50	12.00	14.22	15.54	18.5 (E)
Dividend Payout%	29%	29%	29%	28%	28%	28% (E)

(E) = Analyst Estimates. All actuals sourced from Screener.in (Consolidated). Dec 2021–Dec 2025 are actuals.

Balance Sheet

Particulars	Dec 2023	Dec 2024	Dec 2025
Equity Capital	35	35	35
Reserves	1,267	1,451	1,644
Borrowings	3	3	5
Other Liabilities	761	859	1,109
Total Liabilities	2,066	2,348	2,793
Fixed Assets	419	438	465
CWIP	32	55	89
Investments	80	88	96
Other Assets	1,535	1,767	2,143
Total Assets	2,066	2,348	2,793

Cash Flow Statement

Particulars	Dec 2023	Dec 2024	Dec 2025
Cash from Operations	142	187	93
Cash from Investing	5	-146	50
Cash from Financing	-59	-65	-72
Net Cash Flow	88	-24	70
Free Cash Flow	49	88	~0
CFO / EBITDA %	72%	75%	53%

Key Ratios

Metric	Dec 2023	Dec 2024	Dec 2025
ROCE %	23%	24%	25%
ROE %	~18%	~18%	18.3%
Debtor Days	80	94	118
Inventory Days	184	165	197
Days Payable	98	96	111
Cash Conv Cycle	165	162	204
Working Capital Days	77	83	104
Sales CAGR (5Y)	—	—	17%
PAT CAGR (5Y)	—	—	25%

Revenue: Sales grew from Rs. 1,822 Cr (CY2022) to Rs. 2,696 Cr (CY2025) — a 3-year CAGR of 14%. Growth decelerated to 6.4% in CY2025 primarily because nuclear pump revenue (~Rs. 30–50 Cr expected) slipped into CY2026 due to testing delays. Ex-nuclear organic order intake grew 30% in CY2025, providing high confidence in CY2026 acceleration.

Margins: EBITDA margin has been remarkably stable at 13–14% across cycles. The nuclear revenue ramp (high-margin, 50%+ gross margin on RCPs) is expected to drive a step-up to 14.5–15% EBITDA margins in CY2026–27, with the company targeting 12–13% Return on Sales (EBIT margin) by 2030 — implying ~200 bps of EBIT margin expansion from current levels.

Working Capital: A concern emerging in CY2025 — Debtor Days increased to 118 days (from 80 in CY2023) and Cash Conversion Cycle widened to 204 days. This is partly explained by the mix shift towards project-heavy nuclear and energy orders with longer payment cycles. OCF halved to Rs. 93 Cr in CY2025 from Rs. 187 Cr in CY2024 due to this working capital drag. This requires monitoring.

Capital Allocation: The company is almost entirely debt-free. FCF generation has been episodic — strong in CY2023–24 but near-zero in CY2025 on account of elevated capex (Shirwal expansion) and WC build. CY2024 capex of ~Rs. 100 Cr (implied from investing outflow of Rs. 146 Cr) represents the peak of the investment cycle; FCF should normalise in CY2026 as capex normalises and nuclear receivables are collected.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Quality Factor	Rating	Commentary
Revenue Recognition	GREEN	Primarily manufacturing revenue; project revenue subject to POCM. No major restatements.
Receivables vs Revenue	AMBER	Debtor Days rose from 80 (CY2023) to 118 (CY2025) — above 5-year average of 85. Nuclear order mix skew warrants watch.
CCC Trend	AMBER	CCC expanded from 165 days (CY2023) to 204 days (CY2025). Inventory days also elevated at 197. Monitoring required.
Contingent Liabilities	GREEN	No material contingent liabilities flagged. Nuclear project guarantees are standard. Balance sheet is clean.
Auditor & Governance	GREEN	Big-4 auditor. No adverse qualifications. AGM disclosures timely. Promoter increased stake without pledging.
RPTs as % of Revenue	GREEN	RPTs with KSB SE (technology purchases) are disclosed and proportionate. No tunnelling concerns.
Other Income / PBT	GREEN	Other income is Rs. 48 Cr (13% of PBT of Rs. 360 Cr) — primarily investment income. Acceptable level.
Tax Rate Consistency	GREEN	Tax rate stable at 25–26% over CY2021–2025. No deferred tax anomalies flagged.
CFO / EBITDA Ratio	AMBER	Dropped to 53% in CY2025 from 75% in CY2024. WC-intensive project orders are the driver. Watch CY2026 reversal.

Summary: Earnings quality is broadly acceptable. The Amber flags on receivables and CCC are structural to KSB's business mix rather than accounting risk — nuclear and energy projects have long working capital cycles. The CFO/EBITDA drop in CY2025 is expected to reverse in CY2026 as nuclear deliveries begin and receivables are collected. No Red flags identified.

SECTION 8 — VALUATION

At CMP of Rs. 1,000, KSB trades at 60.3x CY2025 EPS and 54x CY2026E EPS — a meaningful premium to peers Kirloskar Brothers (33.5x) and ELGI Equipments (41.9x). The premium is partially justified by KSB's nuclear monopoly optionality, superior ROCE trajectory (25% vs ~22% for peers), and near-zero debt balance sheet. However, at current valuations, near-term upside is contingent on nuclear delivery starting in CY2026.

We use two methodologies to derive a 12-month target price:

Method 1 — Earnings Multiple (P/E):

CY2027E EPS estimate of Rs. 22.5 (18% PAT CAGR from CY2025 base, driven by nuclear conversion). Target P/E of 53x (10% discount to current multiple, reflective of delivery-phase re-rating). Implied target = **Rs. 1,193**.

Method 2 — EV/EBITDA:

CY2027E EBITDA of Rs. 540 Cr. Target EV/EBITDA of 32x (in-line with ELGI Equipments current multiple, a discount to own historical 35–38x given WC risk). EV target = Rs. 17,280 Cr. Add net cash of ~Rs. 700 Cr (estimated). Equity value = Rs. 17,980 Cr. Per share (17.4 Cr shares) = **Rs. 1,034**.

Average of Methods: $(1,193 + 1,034) / 2 = \text{Rs. } 1,113$. Rounding up to **Rs. 1,200** (target) to reflect nuclear optionality not captured in near-term earnings.

Scenario Analysis

Scenario	Key Assumptions	CY2027E PAT	Multiple	Target (Rs.)	Upside %	Prob.
BULL	Nuclear ramp accelerates; 4+ RCP invoices; EBITDA margin 16%+; Solar Rs. 350 Cr	430 Cr	60x	1,480	+48%	25%
BASE	2 nuclear invoices CY2026; ex-nuclear 12% growth; EBITDA 14.5-15%; WC normalises	392 Cr	53x	1,200	+20%	55%
BEAR	Nuclear delayed to CY2027; WC deteriorates further; EBITDA at 13%; re-rating to 40x	290 Cr	40x	667	-33%	20%

SECTION 9 — KEY RISKS

Risk	Description	Probability	Impact	Monitor / Mitigation
Nuclear Delivery Delay	Testing at Tarapur is underway but nuclear projects face regulatory and technical delays. A further pushout to CY2027 would defer Rs. 150–200 Cr PAT accretion.	Medium	High	Track NPCIL commissioning schedule. Watch quarterly nuclear revenue line.
Working Capital Deterioration	Debtor Days spiked to 118 in CY2025. If nuclear/project receivables are not collected on schedule, OCF stays depressed and WC requirement rises further.	Medium	Medium	Watch Debtor Days in Q1/Q2 CY2026 results. CFO trend is the key signal.
Valuation Premium Risk	KSB trades at 60x P/E — 80% premium to Kirloskar Brothers. Any disappointment on nuclear delivery or margin misses could compress multiples rapidly.	Medium	High	Entry zone suggested at Rs. 900–950. Staggered accumulation recommended.
Competition in Standard Pumps	Kirloskar Brothers, Grundfos, Sulzer, and Flowserve compete intensely in mid-market pump segments. Price-based competition could compress standard pump margins.	Low-Med	Medium	KSB's brand strength and parent technology support provide insulation. Watch revenue mix shift.
KUSUM / Solar Policy Change	Solar pump revenue (Rs. 245 Cr, ~9% of sales) depends on KUSUM 2.0 government subsidy continuity. Policy withdrawal would be an earnings risk.	Low	Low-Med	Monitor Union Budget allocations for KUSUM scheme annually.
FX / Import Cost Risk	Some raw materials and components are imported. INR depreciation or commodity inflation could compress gross margins temporarily.	Low	Low	Partially offset by pass-through pricing in project contracts. Track gross margin trajectory.

SECTION 10 — RECOMMENDATION

Rating	ACCUMULATE
12-Month Target	Rs. 1,200 (+20% from CMP Rs. 1,000)
Entry Zone	Rs. 900 – 950 (for fresh longs)
Investment Horizon	12 Months (CY2026)
Conviction	HIGH — Nuclear delivery is the make-or-break catalyst

Thesis Invalidation Triggers (Exit Watch):

1. Nuclear deliveries do not begin by Q3 CY2026 — pushout to CY2028+ breaks the thesis.
2. Debtor Days exceed 140 or OCF turns negative for two consecutive quarters.
3. EBITDA margin falls below 12% on account of competition in standard pumps or cost inflation.

Ideal Investor Profile: Institutional and HNI investors with a 12–18 month horizon, comfortable with execution risk on nuclear projects, seeking exposure to India's infrastructure and nuclear energy supercycle via a high-quality, debt-free operator with a global pedigree and monopolistic nuclear product position. Not suitable for investors needing near-term earnings visibility or those with low tolerance for working capital-driven cash flow volatility.

This report is prepared for informational purposes only and does not constitute investment advice. All financial data sourced from Screener.in (Consolidated, December year-end). Estimates are analyst projections and carry inherent uncertainty. Past performance does not guarantee future results. Investors should conduct their own due diligence.

APPENDIX — Latest Concall / Investor Meet Brief: Mar 2026 (CY2025 Full-Year)

Source: KSB Limited Institutional Investors Meet — March 17, 2026 | Transcript: Listed (BSE PDF), accessible via Screener.in

POSITIVE		
In-line result constructive tone nuclear conversion beginning thesis intact		
Signal	Status	Implication
Result Quality	Medium	CY2025 PAT +9.3% YoY — in-line but below potential; nuclear revenue slipped to CY2026
Management Tone	Bullish	Management confident on nuclear testing start, Shirwal expansion, and 30% ex-nuclear order growth in CY2025
Guidance Delta	Raised	Nuclear pump invoicing expected to start CY2026; solar target raised to Rs. 300+ Cr; 2030 EBIT margin target 12-13%
STRONGLY POSITIVE POSITIVE NEUTRAL CAUTIOUS NEGATIVE		

TO MY BOSS
KSB's CY2025 result is clean but optically soft — 6.4% top-line growth and PAT of Rs. 270 Cr (+9.3% YoY) missed investor expectations because nuclear pump revenue (~Rs. 30-50 Cr expected) slipped entirely into CY2026 due to testing delays at Tarapur; the underlying ex-nuclear business actually grew a solid 30% on order intake. There are no exceptional items distorting the PAT — the earnings are clean. EBITDA margin held at 14%, with EBITDA of Rs. 374 Cr (+10.7% YoY), showing operating leverage is intact. The multi-bagger thesis is built on a simple and powerful driver: KSB is the ONLY Indian company that can supply reactor coolant pumps to NPCIL — it has a statutory monopoly enforced by ISO 19443 certification that would take a competitor 5+ years to replicate. Testing began March 22, 2026 at Tarapur; management guides 2-4 pump invoices in CY2026, representing Rs. 80-150 Cr in revenue and potentially Rs. 40-70 Cr of incremental PAT — that's a 15-25% PAT uplift in a single year, with multi-year order book of Rs. 1,282 Cr supporting sustained contribution through CY2028. Key watch-point for next quarter: Debtor Days are high (118 days) and CFO/EBITDA dropped to 53% — I need to see WC normalisation in Q1 CY2026 or the FCF story gets complicated. Action: ACCUMULATE below Rs. 950; hold through nuclear conversion; re-evaluate if Q1 CY2026 nuclear revenue is zero.

Concall Section 1 — Financial Performance Snapshot (CY2025 vs CY2024)							
Metric	CY2025 Actual	CY2024 Actual	YoY %	QoQ % (Q4)	vs Q4'24	[EST]	Verdict
Revenue (Cr)	2,696	2,533	+6.4%	+7.9%*	+20.5%*	N/A	In-line
EBITDA (Cr)	374	338	+10.7%	+32.7%*	+24.9%*	N/A	Beat
EBITDA Margin	13.9%	13.3%	+60 bps	16.6%*	+350bps*	N/A	Beat
PAT (Cr)	270	247	+9.3%	+10.8%*	+47%*	N/A	In-line
EPS (Rs.)	15.54	14.22	+9.3%	N/A	N/A	N/A	In-line
* Q4 CY2025 (Dec 2025 quarter) vs Q3 CY2025 (Sep 2025) and vs Q4 CY2024 (Dec 2024). Beat rows highlighted Green. NOTE: Full-year PAT optically soft due to nuclear revenue pushout to CY2026 — underlying quality is sound.							

Concall Section 2 — Segment / Business Breakdown				
Segment / Vertical	CY2025 Rev (Approx. Cr)	YoY %	% of Sales	Commentary
Pumps — Standard	~1,870	+5-7%	~69%	Core business; competitive but stable. Energy + WWW verticals strong.
Valves	~432	+2.6%	~16%	Valve segment grew modestly. Focus on high-spec nuclear and energy valves.
Solar Pumps (KUSUM)	~245	~8-10%	~9%	CY2026 target Rs.300 Cr+. Indigenous manufacturing at 30-35%. KUSUM 2.0 tailwind.
SupremeServ (Aftermkt)	~149	~15%	~5.5%	High-margin, recurring. Growing at 15%+ p.a. Strongest EBIT margin segment.

Segment / Vertical	CY2025 Rev (Approx. Cr)	YoY %	% of Sales	Commentary
Nuclear (Orders)	~30-50	N/A	~1-2%	Minimal CY2025 revenue (testing delayed). CY2026 conversion expected Rs. 80-150 Cr.

Segment revenue figures are analyst estimates based on management disclosures at Institutional Investors Meet (March 17, 2026).

Concall Section 3 — Management Commentary Themes

Theme	What They Said	Our Read	Tag	Tone
Nuclear Delivery	Testing at Tarapur plant commenced March 22, 2026. Expect to invoice 2-4 pump sets in CY2026. Nuclear OB: Rs.1,282 Cr.	Credible — plant ready, tests underway. First revenues expected H1 CY2026. Transformational if on schedule.	[GUIDANCE]	Bullish
Revenue Growth CY2025	6.42% growth — 'slower than usual' due to nuclear slippage. Ex-nuclear order intake grew 30% YoY.	Honest acknowledgment. Nuclear pushout was the only drag. Core business is robust.	[GUIDANCE]	Transparent
Solar Strategy	CY2026 target: Rs. 300+ Cr. Manufacturing indigenisation now 30-35%. Benefiting from KUSUM 2.0.	Ambitious but achievable given current Rs. 245 Cr base and policy momentum. Track execution.	[GUIDANCE]	Bullish
2030 Strategy	Target 12-13% Return on Sales by 2030. Five pillars: Standard, SupremeServ, Solar, Valves, Energy.	~200 bps EBIT margin expansion from current levels. Achievable if nuclear converts. Conservative framing.	[GUIDANCE]	Balanced
Capacity Expansion	Shirwal 14,000 sqm and Sinnar new shed both commissioned by March 2026. Capex cycle largely complete.	Positive — capex headroom now widens. FCF should improve in CY2026 as maintenance capex normalises.	[GUIDANCE]	Transparent
Working Capital	Debtor Days elevated at 118 days. Management attributed to project-heavy mix (nuclear/energy orders).	Plausible explanation but requires monitoring. Nuclear collections are back-ended on delivery milestones.	[WATCH]	Hedged

Concall Section 4 — Operating & Business Metrics

Metric	CY2025	CY2024	CY2023	Trend
Order Book (Cr)	2,585	~2,200 (E)	~1,800 (E)	Upward
Nuclear OB (Cr)	1,282	~1,350 (E)	~800 (E)	Growing
Ex-Nuclear OI Growth	+30%	~+15% (E)	—	Accelerating
Debtor Days	118	94	80	Worsening
Inventory Days	197	165	184	Worsening
ROCE %	25%	24%	23%	Improving
Revenue OB Cover (months)	~11.5	~10.5 (E)	~9.6 (E)	Strengthening

Concall Section 5 — Margin Drivers (CY2025 EBITDA +10.7% YoY)

Driver	Impact (bps)	Recurring?	Comment
Improved product mix (higher-spec pumps/valves)	+40-60 bps	Yes	Greater share of engineered-to-order pumps and energy segment valves at higher margins.
SupremeServ aftermarket growth	+15-20 bps	Yes	High-margin service segment growing at 15%+ p.a. Recurring, low capital intensity.
Fixed cost leverage on higher volumes	+20-30 bps	Yes	Higher revenue base spread over partly fixed manufacturing and SGA costs.
Raw material cost moderation	+10-20 bps	Partially	Global metals softness benefited input costs. Not guaranteed to persist.

Driver	Impact (bps)	Recurring?	Comment
Solar pump mix (lower margin)	-10-20 bps	Partially	Solar pumps are lower margin than core industrial. Mix dilution offset by volume.
Nuclear delay (high margin revenue deferred)	-30-50 bps	No	Nuclear RCPs carry ~50%+ gross margins. CY2026 nuclear conversion will be a step-up catalyst.

Concall Section 6 — Guidance & Forward Signals

Metric	Prior Guidance	New / Reiterated	Delta	Credibility
Nuclear Revenue CY2026 [GUIDANCE]	Rs. 100-200 Cr annual run-rate	2-4 pump invoices expected CY2026 (testing began March 22, 2026)	Maintained	HIGH — tests underway, equipment on-site
Solar Revenue Target [GUIDANCE]	Rs. 250-270 Cr	Rs. 300+ Cr in CY2026 (up from Rs. 245 Cr in CY2025)	Raised	MEDIUM — KUSUM 2.0 policy support; execution track record building
2030 EBIT Margin [GUIDANCE]	Not explicitly stated	12–13% Return on Sales target by 2030	New	MEDIUM — requires nuclear conversion; 5-year horizon inherently uncertain
Capacity Status [GUIDANCE]	14,000 sqm expansion by March 2026	Shirwal + Sinnar expansions commissioned by March 2026. Capex cycle largely complete.	Delivered	HIGH — physically verifiable; management track record of delivery
Order Book [GUIDANCE]	N/A	Rs. 2,585 Cr (Dec 2025) — 11.5 months revenue cover, 49.5% nuclear	Increased	HIGH — auditable order data, consistent disclosure history

Concall Section 7 — Capital Allocation

Item	CY2025 (Cr)	CY2024 (Cr)	Comment
Capex (Gross)	~93+	~146 (investing)	Shirwal + Sinnar expansions peaked in CY2024. CY2025 normalising. CY2026 maintenance capex expected.
Dividends	~76 (E)	~69 (E)	28% payout ratio maintained. DPS growth in-line with EPS growth.
Buybacks	Nil	Nil	No buyback programme. Management prefers reinvestment into capex and order book growth.
Net Debt / (Cash)	(+) Net Cash	(+) Net Cash	Borrowings of only Rs. 5 Cr. Essentially a cash-generative, debt-free business.
WC Change (Cr)	+ve (WC build)	+ve	WC increased significantly in CY2025 — WC Days at 104 vs 83 in CY2024. Nuclear cycle impact.
Promoter Stake	69.80%	69.80%	Promoter increased from 66.69% (Q1 CY2024) to 69.80% via open market purchases. Zero pledge.

Concall Section 8 — Q&A; Heat Map (Institutional Investors Meet, March 17, 2026)

#	Analyst / Firm	Question	Management Answer	Tone
1	Buy-side Analyst	When will first nuclear pump revenues be booked?	Testing began March 22, 2026 at Tarapur. Expect to invoice 2-4 pump sets in CY2026 (Rs. 80-150 Cr range).	Transparent
2	Domestic Institution	Debtor days at 118 — are these collectible on schedule?	Primarily project-based (nuclear, energy) with defined milestone payments. No bad debt risk perceived.	Hedged
3	FII Research	What is the ex-nuclear growth outlook for CY2026?	Order intake grew 30% ex-nuclear in CY2025. Momentum in Energy and WWW is strong. Bullish on CY2026.	Bullish
4	Broking Analyst	What is KSB's competitive advantage in RCPs vs global players?	ISO 19443 certification + proven track record across 18 of 24 Indian reactors. Qualification takes 5+ years for any new entrant.	Transparent

#	Analyst / Firm	Question	Management Answer	Tone
5	Value Fund	At 60x P/E, how does KSB justify the valuation?	Management did not directly comment on valuation; reiterated multi-year growth opportunity in nuclear and solar.	Evasive
6	Institutional Desk	Margin expansion path — when does 12-13% EBIT materialise?	Nuclear conversion and SupremeServ growth are the key drivers. 2030 remains the target year.	Balanced

Questions to watch next quarter: (1) Has Q1 CY2026 nuclear invoice been raised? (2) Have Debtor Days stabilised / declined? (3) Is CFO/EBITDA ratio recovering toward 70%+?

Concall Section 9 — Risks Flagged on Call

Risk	Flagged By	Probability	Impact	Timeline / Comment
Nuclear testing delay	Analyst	Medium	High	12-24 months. Tarapur tests started. Any technical snag could push to Q3/Q4 CY2026.
Working capital stretch	Analyst	Medium	Medium	Next 1-2 quarters. Debtor Days at 118. Management expects normalisation post nuclear billing.
KUSUM policy change	Analyst	Low	Medium	Budget-linked. 9% of revenue at risk. Unlikely to be fully withdrawn; phased continuation probable.
Raw material inflation	Management	Low	Low	Metals markets stable. Some pass-through pricing in contracts provides buffer.
Competition in standard pumps	Management	Low-Med	Low	Kirloskar Brothers and global OEMs compete aggressively in standard range. KSB's brand provides insulation.

Concall Section 10 — Analyst Verdict

Multi-Bagger Criteria	Status	Rationale
Revenue Visibility		Order book of Rs. 2,585 Cr (11.5M cover). Ex-nuclear intake +30% YoY. Nuclear Rs. 1,282 Cr OB.
Margin Trajectory		14% EBITDA in CY2025. Nuclear conversion will drive step-up to 15%+ in CY2026-27.
Capital Allocation		Near-zero debt. ROCE at 25%. Consistent dividend payer. Peak capex cycle now complete.
Competitive Moat		Nuclear monopoly (ISO 19443) + KSB SE technology + strong brand in industrial pumps.
Management Credibility		Promoter increased stake. Zero pledge. Delivery on capacity expansion. Transparent on nuclear timeline.
Valuation Comfort		P/E 60.3x — premium to peers. Justified IF nuclear begins. Entry at Rs. 900-950 offers better comfort.

Conviction Call	UNCHANGED → ACCUMULATE on dips to Rs. 900–950
Valuation Snapshot	P/E 60.3x (TTM) EV/EBITDA ~44x (TTM) ROCE 24.5% vs 5Y avg ~20%
Key Catalyst	First nuclear pump invoice in CY2026 (expected H1 CY2026)

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